

HOUSE BILL 738

By Parkinson

AN ACT to amend Tennessee Code Annotated, Title 49,
relative to higher education.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-4-708(b)(3), is amended by adding the following as a new subdivision (C):

(C) An institution accredited by the National Accrediting Commission of Career Arts and Sciences (NACCAS) that has its primary campus domiciled in this state;

SECTION 2. Tennessee Code Annotated, Section 49-4-708(b)(1), is amended by adding the language "or an eligible postsecondary institution, as defined in subdivision (b)(3)(C)," after "Tennessee college of applied technology".

SECTION 3. Tennessee Code Annotated, Section 49-4-708(b)(4), is amended by designating subdivision (B) as subdivision (C) and adding the following as subdivision (B):

(B) Includes, beginning with the fall semester of the 2025-2026 academic year, a curriculum of courses leading to a certificate, diploma, or other credential at an eligible postsecondary institution, as defined in subdivision (b)(3)(C);

SECTION 4. Tennessee Code Annotated, Section 49-4-708(b)(5), is amended by adding the language "or eligible postsecondary institution, as defined in subdivision (b)(3)(C)" after "Tennessee college of applied technology".

SECTION 5. Tennessee Code Annotated, Section 49-4-708(c)(3), is amended by adding the language "or eligible postsecondary institution, as defined in subdivision (b)(3)(C)" after "Tennessee college of applied technology".

SECTION 6. Tennessee Code Annotated, Section 49-4-708(c), is amended by deleting subdivisions (5) and (6) and substituting instead the following:

(5) A Tennessee Promise scholarship:

(A) At a Tennessee public two-year postsecondary institution or Tennessee college of applied technology is the cost of tuition and mandatory fees at the eligible postsecondary institution attended less all other gift aid. Gift aid must be credited first to the student's tuition and mandatory fees; or

(B) At an eligible four-year public postsecondary institution or an eligible private institution, which includes an eligible postsecondary institution, as defined in subdivision (b)(3)(C), is the average cost of tuition and mandatory fees at the public two-year postsecondary institutions less all other gift aid. Gift aid must be credited first to the student's tuition and mandatory fees;

SECTION 7. Tennessee Code Annotated, Section 49-4-708(c), is amended by adding the following as a new subdivision:

(12) Notwithstanding this subsection (c) to the contrary, to be eligible for the scholarship at an eligible postsecondary institution, as defined in subdivision (b)(3)(C), TSAC must first determine that there are no available enrollment slots at a Tennessee college of applied technology in the county in which the student resides for the student's desired program of study. If there are available enrollment slots at a Tennessee college of applied technology in the county in which the student resides for the student's desired program of study, then the student must be enrolled in a Tennessee college of applied technology in order to receive the scholarship.

SECTION 8. This act takes effect July 1, 2025, the public welfare requiring it, and applies to Tennessee Promise scholarships awarded for the 2025-2026 academic year and each academic year thereafter.